

ly to act as a headwind to India's GDP growth, she says. "We have lowered our growth forecast for growth from 6.2% to 6%," she says.

THE SURVEY VIEW

However, in the survey, only 19% firms believed that they would be impacted by higher US tariffs, while 52% said they would not be impacted. The survey was conducted before the US raised the tariff on India to 50%.

Banerjee of PwC India points out that India is primarily a domestic consumption-led economy. "Despite the US tariff hike, we expect the economy to grow between 6% and 6.5% this fiscal as domestic demand continues to remain strong," he says.

While the US is still India's largest trading partner, exports to the US accounted for just 2.2% of GDP (\$86.5 billion) in FY25. As per a recent report by Morgan Stanley, the original 25% tariff and the additional penalty are both applicable on 67% of India's exports to the US, which translates into \$58 billion or 1.5% of GDP.

Thus, concerns run deep. Several other rating agencies have also cut their GDP growth forecasts marginally following the increase in US tariff. Barclays has estimated a 30 basis point impact on India's GDP growth. Fitch has scaled down its GDP growth projection from 6.4% to 6.3% despite stating that the tariffs would have limited direct impact on Indian firms. Morgan Stanley has warned of as much as a 40 to 80 basis point dent on India's GDP growth if the elevated tariffs persist for over 12 months, assuming that there are no mitigating factors.

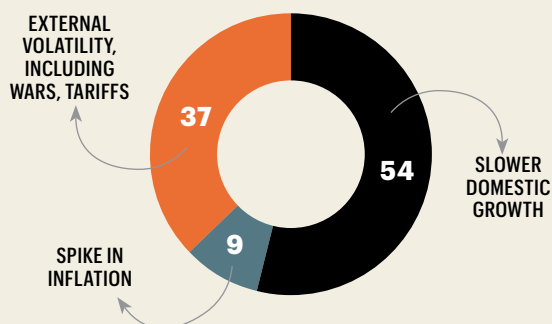
Finance ministry officials are also worried that there would be a hit on growth and exports this fiscal due to the tariffs but say it may be too early to assess the exact impact. For the ministry, an equally contentious challenge is boosting private sector capex, which they believe can be a growth driver.

Slowing domestic growth is the top concern of respondents for the second quarter, the survey revealed. As many as 54% companies cited this as their chief worry in the September quarter, while 37% of firms polled rated external volatility, including wars and US tariffs, as the key concern.

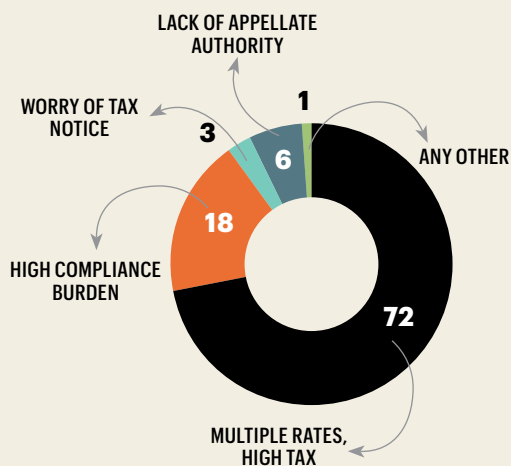
To offset the impact of these headwinds, the commerce ministry is looking at various schemes to help exporters even as it works towards a deal with the US in the coming months, though US President Trump is playing hardball. Negotiations for trade deals with other countries, including New Zealand and the European Union, are also in full swing as the government strives to diversify India's export markets. The government is taking

DOMESTIC CONCERNS

**What is your top concern for Q2 FY26 ?
(Choose one) [in %]**



With work on GST rationalisation underway, what is your chief concern with the tax? (Choose one) [in %]



SOURCE THE BT-C FORE BUSINESS CONFIDENCE SURVEY WAS CONDUCTED BETWEEN JULY 10 AND 25, 2025, OF 500 CEOs AND CFOs REPRESENTING VARIOUS INDUSTRIES AND COMPANY SIZES ACROSS 12 CITIES —DELHI, MUMBAI, CHENNAI, HYDERABAD, BENGALURU, KOLKATA, CHANDIGARH, LUCKNOW, NAGPUR, KOCHI, VISAKHAPATNAM AND BHUBANESWAR

feedback from administrative ministries and stakeholders on how to boost exports given the high US tariffs.

Businesses are looking forward to the benefits of the recently signed free trade agreement between India and the UK as well as the proposed trade pact with the US. As many as 67% of those surveyed believed that these two